

CORRECTION: Trump focuses on Fed board as Warsh survives first test

送信者: EG US Daily 受信日時: 2026-09-18 01:45

【メール原文】

The previous version of this email sent with the wrong subject line. Trump focuses on Fed board as Warsh survives first test. The Fed raised rates as |||

US Daily

Customize Email Preferences

Trump focuses on Fed board as Warsh survives first test

17 Sep 2026 12:42 EDT Discover more on the Portal

*

Trump focuses on Fed board as Warsh survives first test

*

Seoul will go big on US investments to placate Washington

*

GM's entry into missile production signals demand shift

The previous version of this email sent with the wrong subject line.

Trump focuses on Fed board as Warsh survives first test. The Fed raised rates as expected yesterday in a unanimous decision, and Chair Kevin Warsh's press conference read as modestly hawkish. Markets now price three additional hikes over the next 12 months, versus two more expected before yesterday's decision.

*

From Warsh's perspective, this was a good result: A muted response from Trump, a constructive market reaction, and no dissents on the vote.

*

But the Fed is not out of the woods yet, and even as Warsh himself appears insulated from threats from the White House, risks are shifting toward the institution more broadly. Trump's Truth Social post and public statement after the meeting were directed at the other members of the committee, not at Warsh himself, suggesting that pressure could grow if the Fed, as the market expects, raises rates later this year and again in 2027.

*

The White House has the mechanisms to threaten the jobs of committee members Lisa Cook, Michael Barr, and Mary Daly; if it does so, that could force Warsh to choose between incensing the president and defending the independence of the institution.

*

That the long end of the yield curve fell only marginally—and has not unwound the sharp rise of recent weeks—in response to a credible message from Warsh indicates that Fed credibility is not the main force

behind higher yields. The major drivers are negative supply shocks, compounded by concerns about the fiscal outlook. Fed communication, then, will likely have limited scope to bring down long-term yields; administration moves on tariffs or Iran would matter more.

Seoul will go big on US investments to placate Washington. South Korea will likely announce \$200 billion in investments in the US this week, centering on gas turbines in Texas, eight large-scale nuclear reactors, and an LNG pipeline project in Alaska.

*

Political imperatives have driven this progress. US pressure, namely the recent reduction in joint military exercises and President Donald Trump's request for aid in the Middle East, has forced Korea to move on these investments to avoid further antagonizing Trump, despite lingering skepticism about the viability of these projects.

*

Korea sees opportunity to build US nuclear reactors, seizing on Japan's reluctance to sign onto large-scale projects. Any announcement will still require significant follow-up before projects break ground, but Korean engineering, procurement, and construction companies could provide lucrative services the US lacks.

*

Korean officials hope that the big investment commitments will please Trump and alleviate growing strains in the bilateral relationship, particularly over the US e-commerce company Coupang and the Strait of Hormuz, but a meeting between Trump and South Korean President Lee Jae-myung is unlikely at the UN General Assembly this month. Looking beyond the current administration, Seoul quietly hopes that its broader investment commitments could end under the next US president or before it reaches the \$200 billion cap in its framework deal.

*

For more, please see Seoul will go big on US investments to placate Washington , 16 September 2026.

GM's entry into missile production signals demand shift. Lockheed Martin announced Thursday that General Motors will supply parts for critical PAC-3 MSE interceptor missiles. PAC-3 MSE are an advanced variant of traditional missiles used in Patriot air defense batteries that have been seriously depleted in Iran and Ukraine.

*

The initial joint announcement is spare on details, including the specific order size or plans for future work, but is a welcome signal to the defense industry as it has struggled to overcome supply chain challenges and lagging production capacity to address continual interceptor stock depletion exacerbated by the Iran war. But the announcement is not necessarily indicative of a larger groundswell that will dramatically accelerate production and shorten delivery times sector-wide.

*

GM's production capabilities will aid Lockheed in executing its framework deal to ramp up missile production brokered with the Trump administration this January. GM has reportedly slashed delivery times for certain components from months to weeks, offering immediate capability that can potentially reduce lead times for full-up PAC-3 interceptors.

*

However, in addition to GM, other automakers have expressed interest in expanding their defense business lines, reflecting auto sale plateaus and rising demand from the Pentagon. The Pentagon's

demand for industrial capacity could provide a lifeline for automakers facing diminishing returns, making further entrants into the contract manufacturing space an important signpost for defense production in the future.

Quote of the Day

"I told Kevin, I said, 'You might as well vote with the board because it's just not going to matter.' ... The board is very hostile. They're very political. They're doing the wrong thing. They're a bunch of politicians." - Trump speaking to reporters last night about the Fed's decision to raise interest rates; members of the Federal Open Markets Committee, not Warsh, are more at risk over the coming months if the Fed continues its rate-hiking path.

On the Radar

17 September: Last day House is in session before midterms

18-28 September: High-Level Week at UN General Assembly

24 September: Trump-Xi summit

2 October: Last day Senate is in session before midterms

3 November: National midterm elections

10 November: US-China tariff truce expires

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

Noah Daponte-Smith

Senior Analyst, United States

daponte-smith@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

Jason Walter

Researcher, United States

walter@eurasiagroup.net

Pietro Guglielmi

Senior Analyst, Geoeconomics

+44 207 375 6937

guglielmi@eurasiagroup.net

Jeremy Chan

Senior Analyst, China & Northeast Asia

chan@eurasiagroup.net

EG US Daily

unitedstates@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmu5pk7x9cifs07mzruej37f9

[Opt Out](#) | [Customize Email Preferences](#)